



Project Dental

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Industry Analysis and Financial Due Diligence

—

July 31st, 2025



Contents

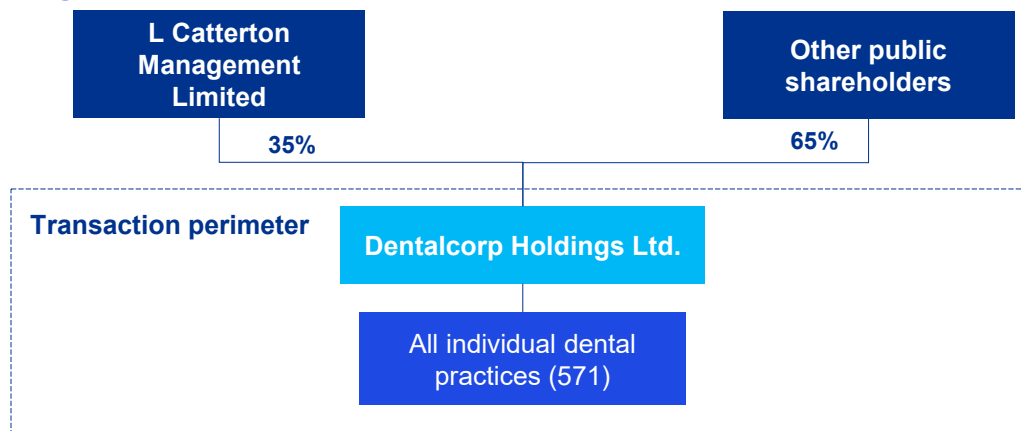
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01 Executive summary

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Business overview (1/2)

Legal chart



Company overview

Dentalcorp Holdings Ltd. ('the Company') was founded in 2011 and has grown to be recognized as Canada's largest dental network through their acquisition program which targets owner dentists across the full spectrum of the dental market. This strategy helps build a strong brand to penetrate the highly fragmented Canadian dental market.

The company's primary offering includes general dentistry, hygiene, and specialty services such as orthodontics, endodontics, oral surgery, periodontics and prosthodontics. The company has a presence in every major urban center in the sense that their practices are within 20km of approximately 79% of the Canadian population.

As of March 2025, the Company reported trailing twelve-month adjusted EBITDA of \$254 million, reflecting a compound annual growth rate of approximately 7% since fiscal year 2022. Dentalcorp is led by an experienced management team, including CEO Graham Rosenberg, who co-founded the Company and has been instrumental in executing its growth and integration strategy.

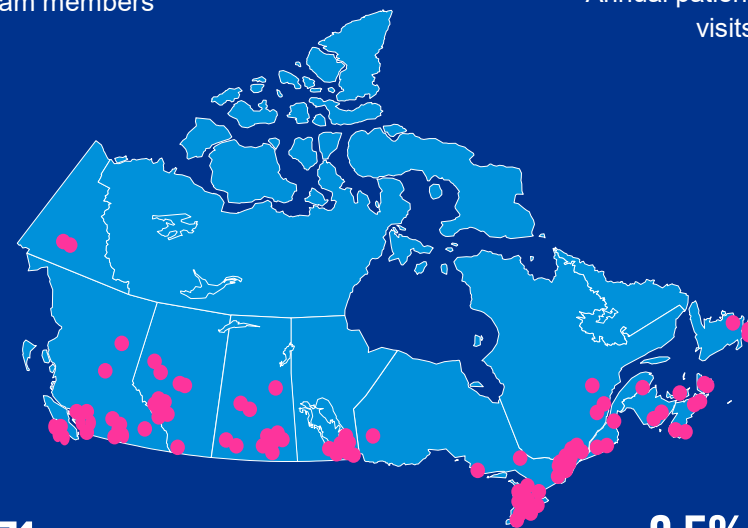
Geographical footprint

10,300

Team members

\$5.6 million

Annual patient visits



571

Dental practices across Canada

~3.5%

Market share

Business overview (2/2)

	The Company's selection criteria for a dental practice location includes:	
	Acquisition Financial Thresholds	• \$2.0 million or more in revenue • \$400,000 or more in EBITDA
	Practice-Level Attributes	• Multiple dentists and hygienists for a diverse pool of revenue producers • Strong clinical reputation and practice standards • Attractive location and facility types
	Partner Dentist Demographics	• Average age of a Partner Dentist at the time of acquisition of their practice is early 40s • Within Dentalcorp, the average age of all dentists is mid-40s
	Market Opportunity and Strategic Fit	• Of the approximately 16,000 independently owned dental practices in Canada, management estimates that around 10,000 meet the Company's Partner Dentist acquisition criteria, with an additional 5,000 suitable for capacity utilization, patient chart acquisitions, or as supplementary locations for existing Partner Dentists—highlighting significant white space for continued growth

Source: Publicly available information



Summary financials (1/2)

The financial analysis presented in this report are based on the Company's publicly available financial statements. The Company operates with 52 week fiscal year, with year-ended FY24 December 31st, 2024. The financial statements are prepared in accordance with IFRS.

Quality of earnings

[Read more](#)

Quality of earnings summary				
CADm	Reported			TTM
	FY22	FY23	FY24	Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management adjustments	49	66	62	72
Diligence adjustments	(21)	(48)	(31)	(30)
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236
<i>EBITDA margin, pro forma adjusted</i>	<i>16%</i>	<i>13%</i>	<i>14%</i>	<i>15%</i>

Significant FY24 adjustments include:

- **Net impact adjustment (+16M):** Represents the sum of (i) unrealized foreign exchange gains or losses on non-cash balances (ii) change in fair value of derivatives and (iii) share of associate losses. This amount relates to adjustment 18 in the management adjustment summary.
- **Loss on disposal of businesses (+\$10M)**
- **Administrative (+\$7M)**

Net working capital

[Read more](#)

Net working capital summary				
CADm	As at			
	31-Dec-22	31-Dec-23	31-Dec-24	31-Mar-25
Net working capital, reported	77	16	33	143
Definitional adjustments	(66)	(7)	(47)	(12)
Diligence adjustments	12	13	15	-
Net working capital, adjusted	22	22	1	131

- The Company's adjusted net working capital in FY24 is significantly lower than reported, indicating that a large portion of their current liabilities are funded by non-operating assets.
- The last quarter frequently experiences the lowest NWC adjusted figures. This phenomenon can be attributed to the timing of operational activities, especially concerning payable liabilities, such as income tax and dividend payable.

Net debt

[Read more](#)

Net debt	
CADm	As at
	31-Mar-25
Cash	
Cash	58
Net cash, reported	58
Debt	
Term facility	(897)
Delayed draw facility	(150)
Non current liabilities	(1,047)
Net debt, reported	(989)

- **Long-term debt:** As of March 31st, 2025 Dentalcorp holds \$1,047M in total debt. This includes the company's term facility, and delayed draw facility.

Source: Publicly available information



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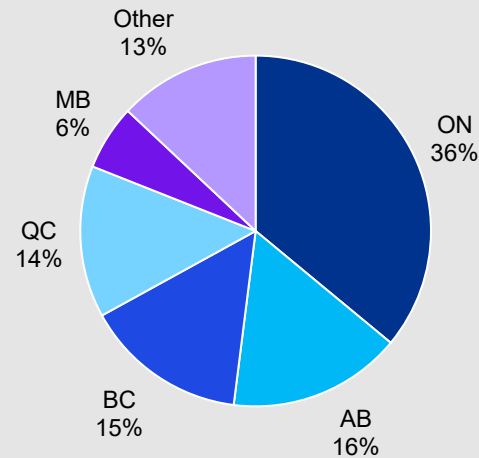
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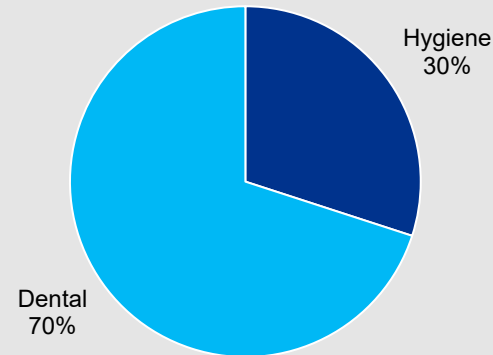
Summary financials (2/2)

Revenue by geography



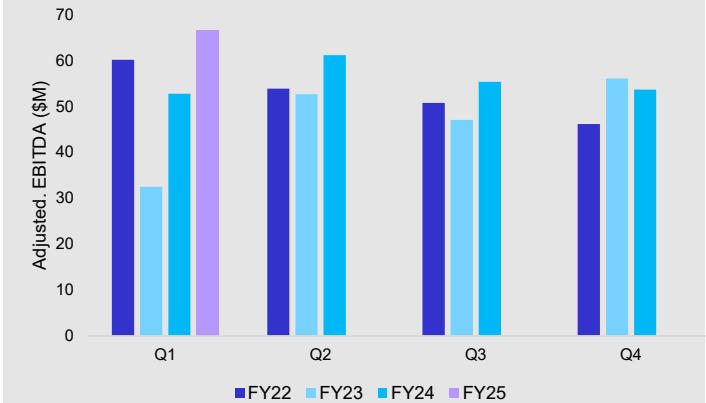
- The company operates a national network of dental practices that include both general and specialty dentistry, mostly located in major urban centers. The locations are strategically based in high-visibility commercial areas to enhance patient access. Approximately 79% of the Canadian population lives within 20 km of these practices.
- A practice is 2,500 to 3,500 square feet typically, allowing for dental operations under high patient volumes in a single location.
- Average revenue per practice is \$2.9 million.

Revenue mix by service



- The majority of the revenue is derived from general dentistry and hygiene services, followed by specialty services.
- General dental services includes regular oral examinations, imagery, extractions, fillings, crown fittings, and a variety of health screenings.
- Specialty dental services includes traditional braces and Invisalign, veneers, Lumineers and implants, periodontal therapy and endodontic therapy.
- As the per capita disposable income is expected to drop in the next five years, patients might choose less costly treatments or delay dental procedures, impacting dental practice revenues.

Adjusted EBITDA by quarter

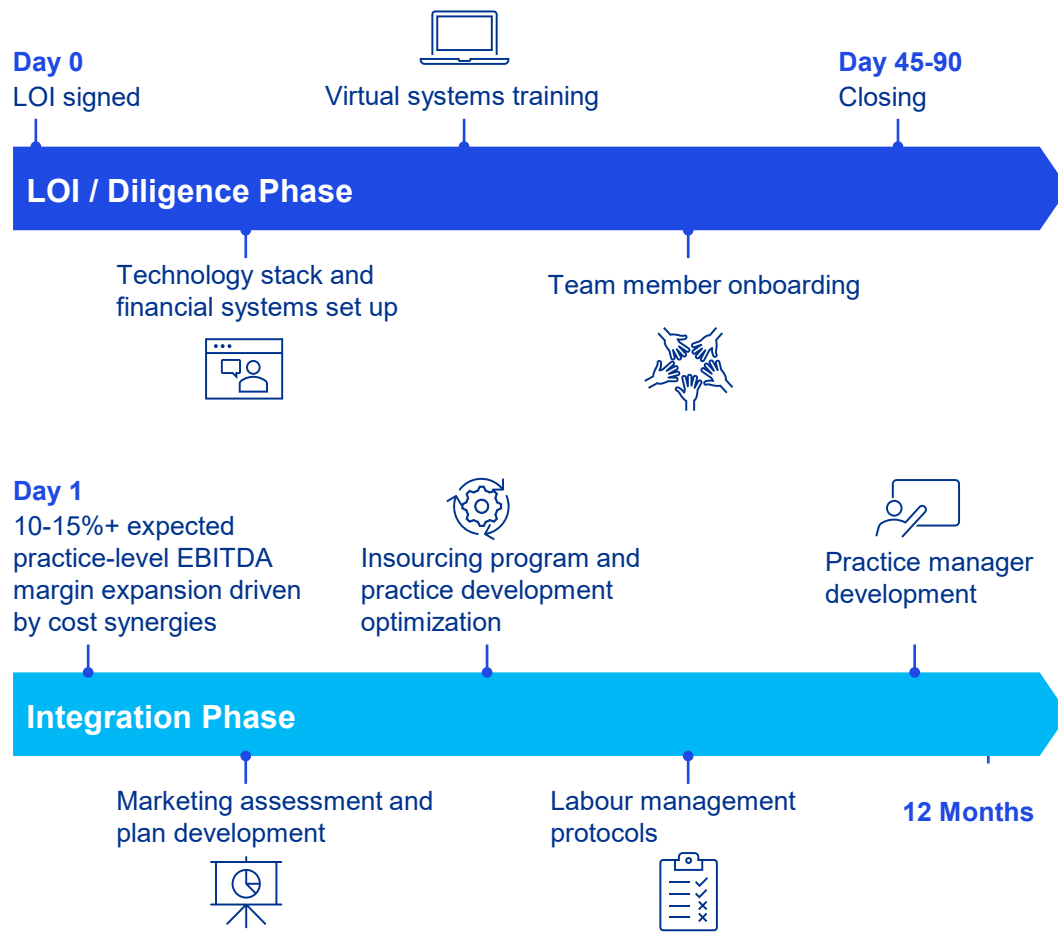


- Strong growth in Q1 over the last 4 fiscal years, with EBITDA increasing steadily and FY25 is more than double FY22's level (\$28M to \$62M).
- Q2 EBITDA remained stable year over year. Revenue peaked in Q2, indicating strong seasonal performance.
- Q1 FY23 reported lower EBITDA compared to previous quarters, primarily due to a significant loss on the disposal of businesses. While this may appear to be a one-time event, similar losses have continued to be recorded in subsequent quarters, including Q4 FY24, which saw a loss of comparable magnitude. As such, we have decided to retain this item in our analysis.

Source: Publicly available information

Value Creation

Practice integration platform



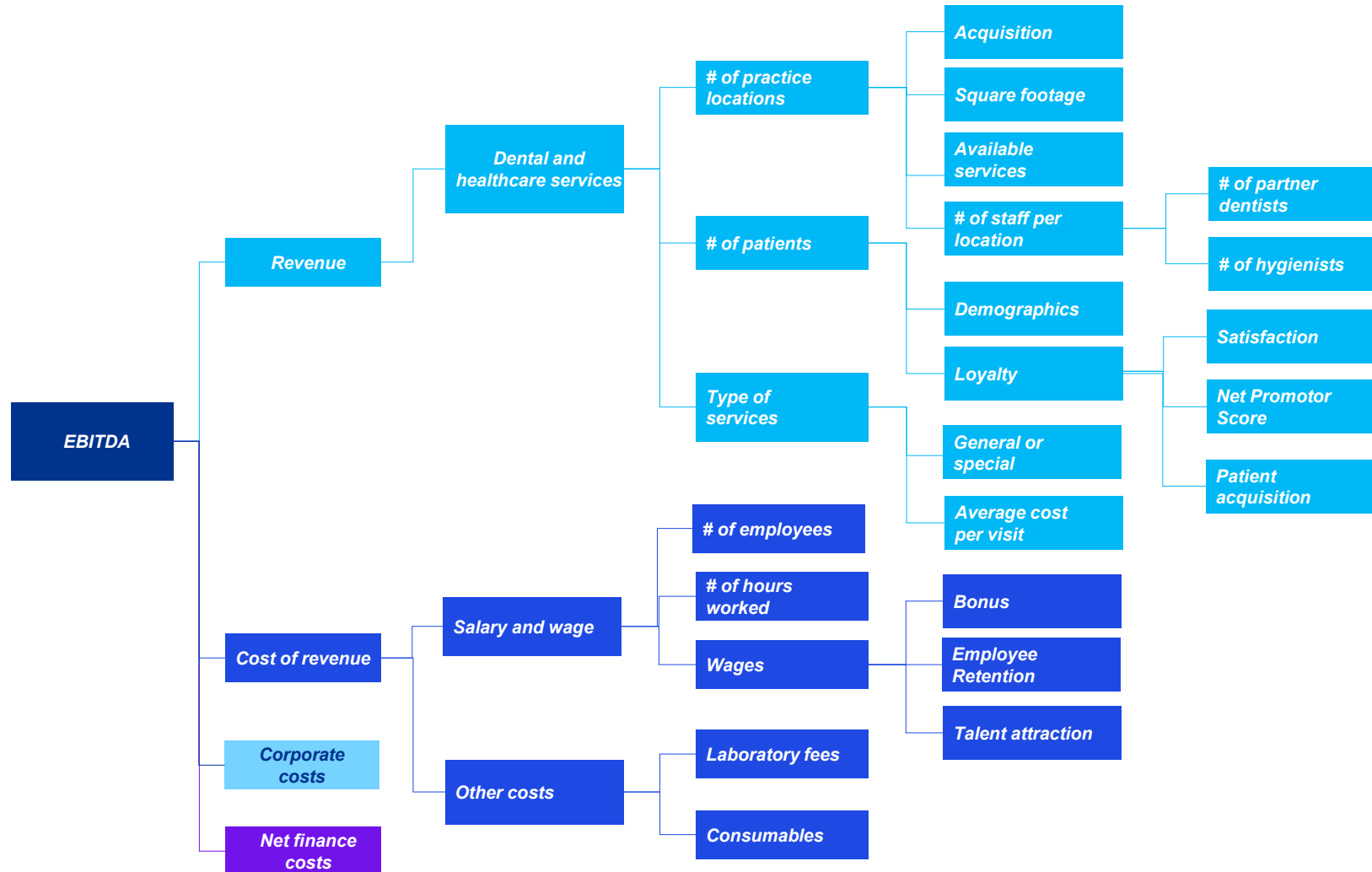
Technology and integration

Dentalcorp has dedicated substantial resources to create a cutting-edge, technology-driven operating platform designed to optimally support its organization. Exclusive to Dentalcorp, it's digital platform drives patient acquisition, traffic and retention, enhances patient experience, drives increased clinic productivity, enhances compliance efforts and reduces consumables and overhead costs.

The technology platforms utilized by Dentalcorp feature a proprietary patient portal and a primary PRM platform, in addition to a strategic partnership with VideaHealth. This collaboration aids clinicians from a diagnostic standpoint while simultaneously providing patients with valuable educational resources. Operationally, each Dentalcorp office benefits from the seamless support of "dc assist" for ticketing, "dc market" for procurement, and "dc safety" for incident reporting and inspections. Moreover, Dentalcorp's comprehensive suite of back-office technology includes advanced systems such as Oracle NetSuite and Workday, further enhancing operational efficiency.



Revenue drivers and cost levers (1/2)



External Drivers

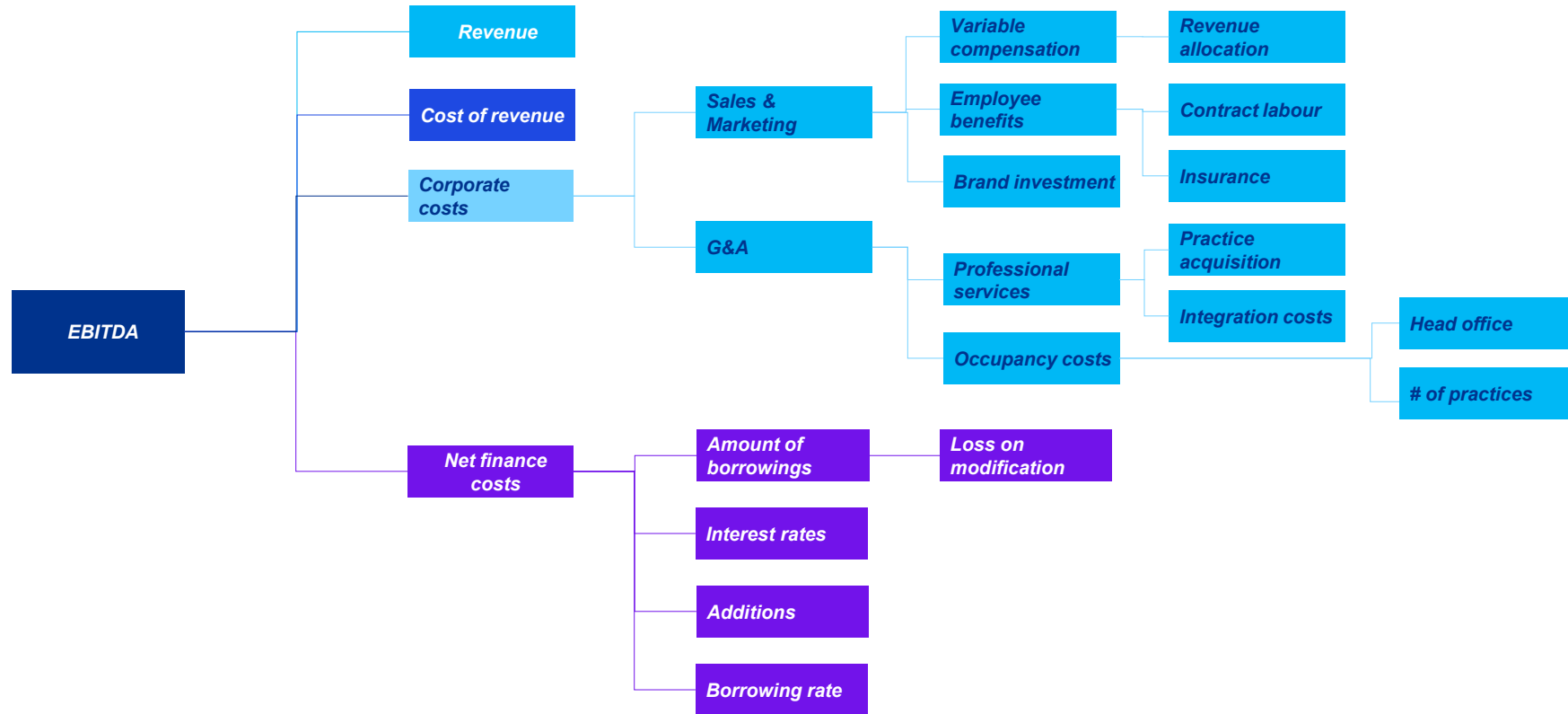
- Changes in disposable income per capita affects patients' spending on healthcare
- Competition (# of dental practices in the surrounding area)
- Demand pressure for services is reduced in urban areas due to Canada's demographic shifts
- Teledentistry and AI can boost mobile dentistry growth

Value Creation Opportunities

- Expansion of network and market reach by continuing the acquisition program
- Organic growth through service expansion
- Leverage technology and digital solutions (i.e. HelloDent)
- Implement AI solutions to enhance patient care and satisfaction
- Focus on partnerships and collaborations
- Increase patient acquisition through digital marketing and word-of-mouth
- Enhance operational efficiency and cost synergy

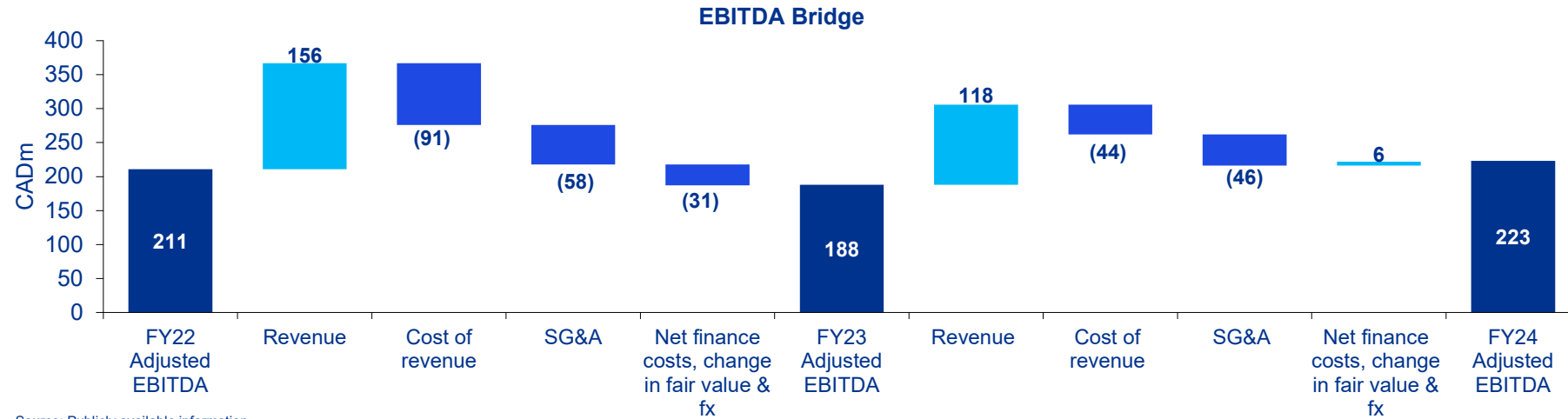
Source: Publicly available information

Revenue drivers and cost levers (2/2)



Source: Publicly available information

Adjusted EBITDA



FY22 to FY23

- Adjusted revenue increased by 12.1%, primarily driven by incremental revenue from practices that were acquired during the year and contribution of a full year revenue from the existing practices. Same practice revenue growth was 6.5% for FY23 compared to 0.9% for FY22.
- Cost of revenue as a percentage of revenue for FY23 was 50.6%, which was higher than results for FY22 of 49.7%, primarily due to higher dental hygienist employment costs, partially offset by a reduction in consumable costs due to preferred supplier arrangements.
- SG&A as a percentage of revenue for FY23 was 31.3% compared to 30.5% for FY22, an increase of 0.8% was primarily due to the increase in corporate employment costs, administrative costs and professional fees, which were partially offset by a decrease in professional fees due to the lower number of acquisitions completed in FY23.
- Foreign exchange loss of \$2M due to the rate of depreciation of USD relative to CDN during FY23 compared to FY22, partially offset by a lower amount of USD cash held.

FY23 to FY24

- Adjusted revenue increased by 8.2%, primarily driven by incremental revenue from practices that were acquired over the year. Same practice revenue growth was 2.3% for FY24.
- Cost of revenue as a percentage of revenue for FY24 was 49.6%, a decrease of 1.0% compared to FY23. The decreases were primarily due to a reduction in laboratory fees.
- SG&A as a percentage of revenue for FY24 was 0.5%, an increase of 0.1% from FY23. The increase was primarily due to higher variable compensation due to improved performance from the dental practices, partially offset by a decrease in marketing and administration expenses from cost reduction as a result of corporate cost management initiatives.
- The Company has entered into a number of interest rate swaps to hedge interest rate risk exposure on the borrowings. The loss from change in fair value of derivative instruments was driven by the decrease in the spread between long and short-term interest rates.

02

Industry Analysis

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Dental Services Industry

Dentist Industry Segmentation

National Platforms

- Approx. 3.5% market share
- Multiple offices within every Canadian province and at least one territory
- Supported by centralized services

Regional Platforms

- Approx. 3.8% market share
- Multiple practices within one or more (but less than every) province
- Only certain benefits and efficiencies of national platform

Independent Practices

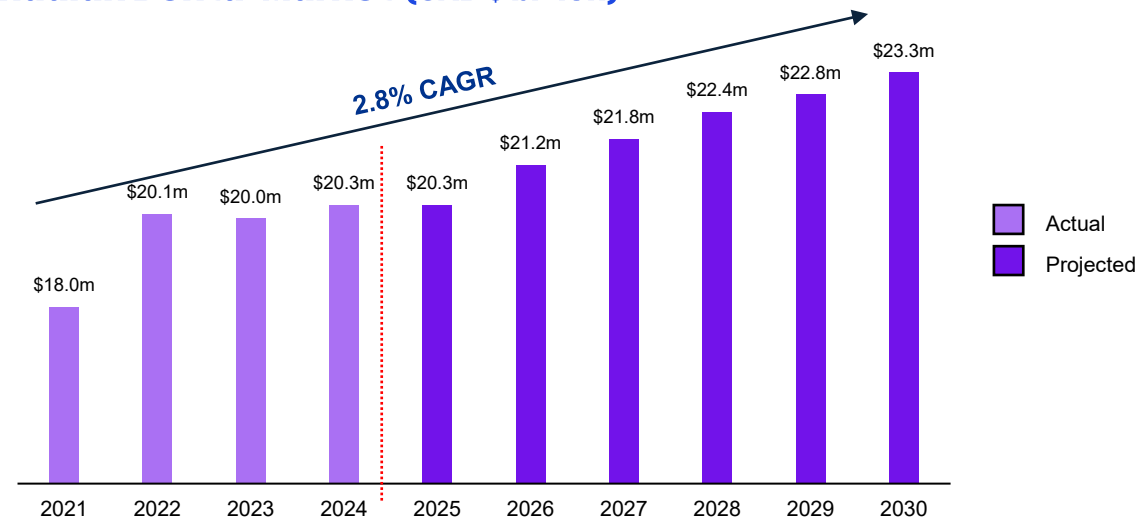
- Approx. 92.6% market share
- Independent practices operated by trained dentists
- Most do not have ability to provide comprehensive set of clinical services

Source: Publicly available information

Overview

The Canadian dentistry market is a substantial industry, worth approximately \$22 billion. This market encompasses spending on services provided by licensed professionals, including dentists, hygienists, and dental assistants operating within dental offices. Patients primarily seek two types of dental services: general dentistry and specialized dentistry. In Canada, the landscape of dental providers can be divided into three main segments, with Dentalcorp operating as a large national organization within this framework. We believe the advantages of independent practices joining a national organization are becoming increasingly clear, particularly in-light-of trends driven by healthcare consumerism, shifting away from independent practices, mitigation of regulatory complexity costs, and strategic digital investments.

Canadian Dental Market (CAD \$ billion)



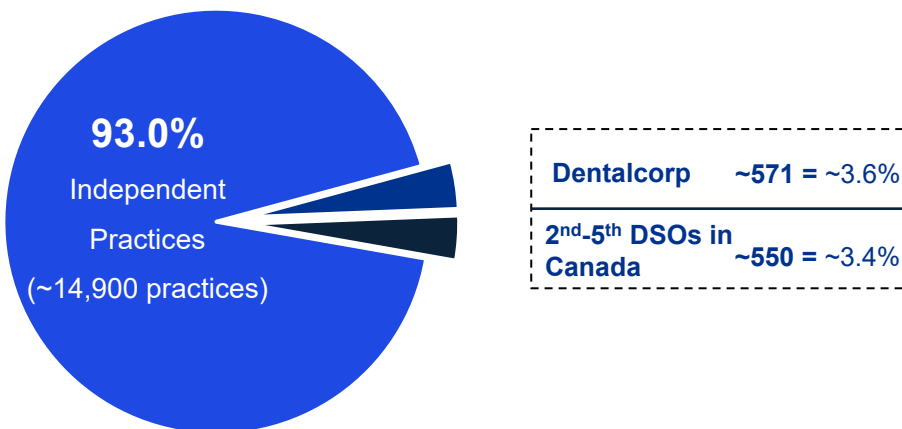
Market Deep Dive – Dental Service Organizations (DSO's)

Background

The rise of corporate dentistry—where companies own multiple practices instead of individual dentists—and Dental Service Organizations ('DSOs') are reshaping the industry. These models provide economies of scale and business support to smaller practices. In some cases, the DSO owns the equipment and leases it back to the dentist, absorbing the significant upfront technology costs.

Hybrid models also exist, where the dentist retains ownership. Currently, Dentalcorp and 123Dentist are the largest DSOs in the Canadian market. With changes in profit for smaller dentist practices, the DSO framework has become more attractive, as economies of scale can promote financial benefits to small practices.

Market Share



Competitors

- | | |
|------------------------------------|---|
| i) Heartland Dental (USA) | vii. Affordable Care (USA) |
| ii) Aspen Dental (USA) | viii. Western Dental & Orthodontics (USA) |
| iii) Pacific Dental Services (USA) | ix. Great Expressions Dental (USA) |
| iv) Smiler Brands (USA) | x. 42 North Dental (USA) |
| v) Dental Care Alliance (USA) | xi. Mortenson Dental Partners (USA)* |
| vi) MB2 Dental (USA) | xii. 123Dentist (Canada) |

* Indicates non PE-owned

Advantages of DSO's

- Healthcare Consumerism - With their size and scale, DSO's have the resources to invest in staff training, development, and patient experience—meeting the growing expectations of today's healthcare consumers.
- Shift from Independent Practice - Dental professionals increasingly prefer focusing on patient care rather than business operations. DSOs offer dedicated business support and expertise, enabling clinicians to maintain clinical autonomy while benefiting from economic alignment.
- Cost Consolidation -DSOs gain a competitive edge by consolidating costs, enabling cheaper services, streamlined operations, and stronger profit margins across their clinic networks.
- Digital Investments- DSOs can invest in advanced technologies across their networks, driving operational efficiencies, improving patient access, and increasing visit volumes.

Future Outlook

M&A Trends



- Dental Service Organizations account for the highest number of deals among medical specialties
- Private equity firms target practices with 5-8x EBITDA multiples, prioritizing scalable models with recurring revenue from ancillary services (e.g., orthodontics, clear aligners)



- Buyers favor practices with associate dentists and strong patient retention (E.g., 4.7+ Google reviews reduce customer acquisition costs)
- Some sellers prefer DSOs which provide partnership agreements and allow them to still partially operate their dentistry's



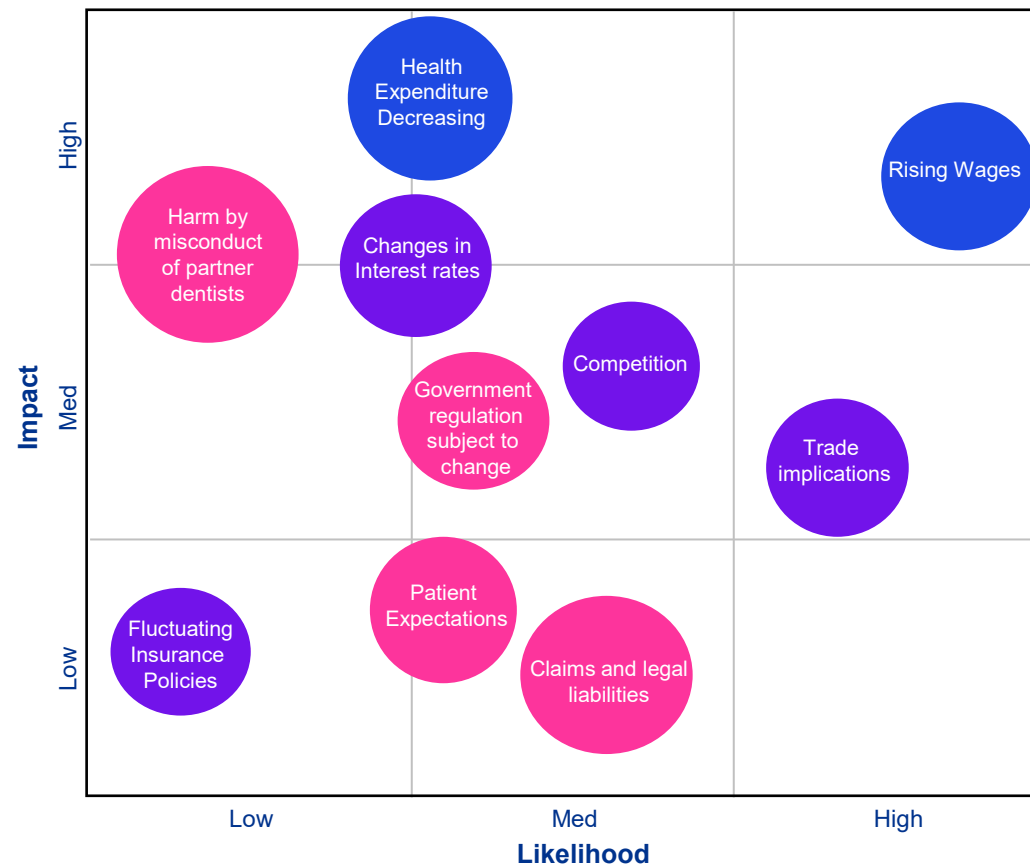
- AI-driven patient acquisition tools and teledentistry platforms are becoming valuation differentiators
- At DentalCorp, technology is being leveraged to drive continued scalability and growth through AI, leading technology, and actionable data and insights



- Continued consolidation of practices in rural and suburban markets, with DSOs leveraging economies of scale for payor contracting
- Consolidation has also been seen with vendors as DSOs not only look to grow through M&A but operational efficiency as well

Source: Publicly available information

Risk matrix



03

Recommendation

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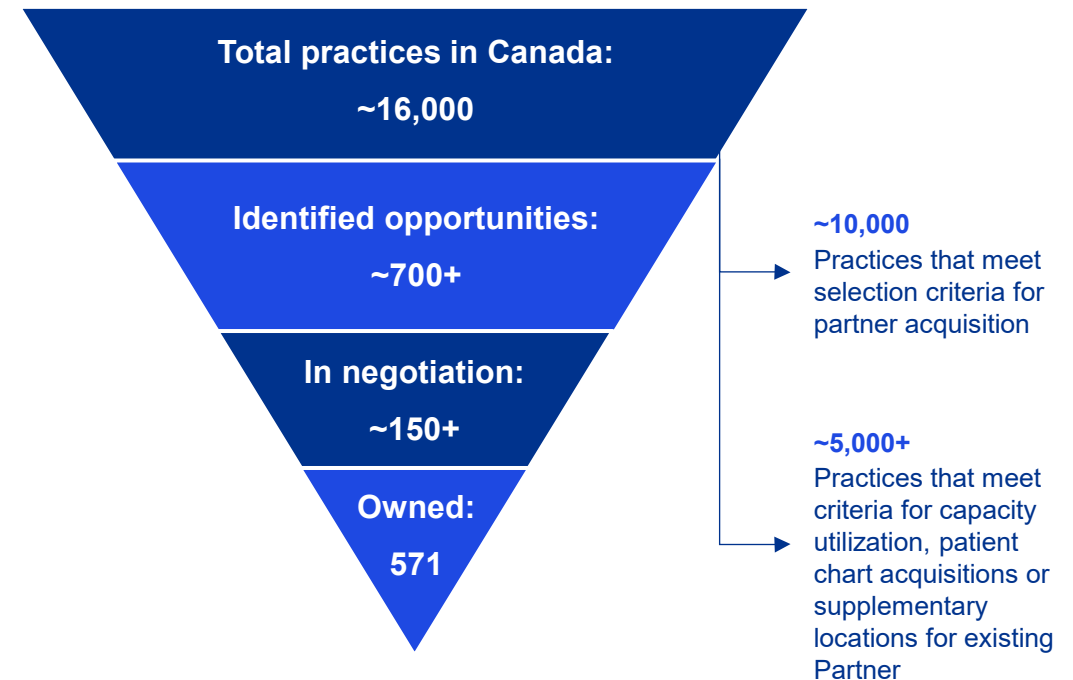
Recommendation

We recommend investment in Dentalcorp based on several growth opportunities, ~63% upside potential and the scalability within the Canadian dental services market.

Investment thesis

Large addressable market	- Canadian dental market: \$22B in size and only ~7% consolidated - Dentalcorp's market share is larger than DSO competitors 2-5 combined - High revenue growth expected between 2024-2029 - Growing market due to (i) Canadians' high "Dental I.Q.", (ii) aging population, (iii) immigration, (iv) availability of government-funded dental coverage
Highly recurring, cash pay, essential healthcare	91% recurring patient visits - Primarily direct cash pay, neutral to negative working capital and limited exposure to insurance companies or government pay 70 - 75% of Canadians see a dentist every year - Introduction of CDCP in 2024, a federally funded program designed to provide dental insurance coverage to uninsured Canadian residents who meet eligible criteria
Long history of double-digit growth	19.3% Adjusted Free Cash Flow CAGR 21.0% PF Revenue CAGR 22.6% PF Adjusted EBITDA CAGR - Scaled corporate infrastructure to support continued growth and drive operating leverage

Source: Publicly available information



Valuation

Transactions within the dental service organization industry generally occur without statement of financial metrics and no publicly listed companies other than the Company. Precedent transaction's analysis was used to lend more confidence to the valuation of the Company.

Precedent transactions analysis							
CADm							
Buyer	Acquiree	Date	Deal Type	EV	EBITDA	EV/Adj. EBITDA	
Mubadala	Dental Care Alliance	Jan-23	Acquisition	2,000	130	15.38	
OTPP	The Donte Group	Jul-25	Acquisition	1,610	-	-	
Warburg Pincus	MB2 Dental	Nov-24	Minority	3,670	195	18.82	

Equity Value Bridge	
EV/Adj. EBITDA	15.38x
TTM Adj. EBITDA	236
Implied EV	3,634
Net debt	(989)
Implied Equity Value	2,645
Diluted Shares Outstanding	198
Share Price	13.36

Min	0.00x
Median	15.38x
Mean	11.40x
Max	18.82x

Overview

We valued dentalcorp at a 15.38x EV/EBITDA multiple, using the Mubadala acquisition of Dental Care Alliance as the primary precedent. This transaction was selected over the Warburg Pincus investment, which traded at a higher 18.8x multiple.

The Warburg deal involved a minority stake, which typically commands a premium due to limited control and strategic influence—making it less appropriate for valuing a majority or full acquisition scenario. Dentalcorp and Dental Care Alliance share similar DSO characteristics, including comparable average practice sizes and a similar proportion of specialized practices, reinforcing the relevance of the Mubadala transaction as a benchmark.

Using the 15.38x EV/EBITDA multiple, we derive an enterprise value of \$3.64 billion for dentalcorp. After subtracting net debt of \$989 million, the implied equity value is \$2.645 billion, translating to a share price of \$13.36. This reflects a 65.5% upside from the current market price of \$8.08 as of July 24th, 2025.

Equity research reports suggest a valuation range for dentalcorp between \$11.50 and \$15.00 per share, based on market comparables and projected financial performance. Our derived valuation of \$13.36 per share sits comfortably within this range, indicating alignment with broader market expectations.

The lack of detailed financial disclosure across DSO transactions presents a challenge for direct valuation analysis, making precedent transaction multiples and public market data critical tools for triangulating value.

Source: Publicly available information



04

Historical trading

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Profit & loss overview (1/2)

The company's revenue grows steadily from FY22 to FY24, though it reports a net loss. However, it achieves a positive EBITDA, indicating that the loss is largely accounting-based rather than reflective of poor operational performance. This is primarily due to significant non-cash depreciation expenses tied to the company's asset-heavy business model.

Income statement reported								
CADm	Reported				As % of revenue			
	FY22	FY23	FY24	TTM Q1-25	FY22	FY23	FY24	TTM Q1-25
Revenue	1,250	1,426	1,545	1,582	100.0%	100.0%	100.0%	100.0%
Cost of revenue	(638)	(729)	(772)	(786)	(51.1%)	(51.1%)	(50.0%)	(49.7%)
Gross profit	612	697	773	796	48.9%	48.9%	50.0%	50.3%
SG&A	(404)	(462)	(503)	(516)	(32.3%)	(32.4%)	(32.5%)	(32.6%)
Depreciation and amortization	(190)	(203)	(205)	(205)	(15.2%)	(14.2%)	(13.2%)	(13.0%)
Share-based compensation	(13)	(12)	(13)	(11)	(1.0%)	(0.8%)	(0.8%)	(0.7%)
Net finance costs	(68)	(93)	(92)	(88)	(5.4%)	(6.5%)	(6.0%)	(5.5%)
Change in fair value & fx	(15)	(6)	(24)	(37)	(1.2%)	(0.4%)	(1.6%)	(2.3%)
Loss on disposals	(0)	(23)	(11)	(12)	(0.0%)	(1.6%)	(0.7%)	(0.7%)
Loss before income taxes	(78)	(103)	(75)	(72)	(6.2%)	(7.2%)	(4.8%)	(4.6%)
Income tax recovery	61	17	15	14	4.9%	1.2%	1.0%	0.9%
Net income (loss)	(17)	(86)	(59)	(58)	(1.3%)	(6.0%)	(3.8%)	(3.7%)
Net interest	68	93	90	88	5.4%	6.5%	5.8%	5.5%
Depreciation & amortization	190	203	205	205	15.2%	14.2%	13.2%	13.0%
Taxes	(61)	(17)	(15)	(14)	(4.9%)	(1.2%)	(1.0%)	(0.9%)
EBITDA	181	194	220	221	14.5%	13.6%	14.2%	13.9%

Overview

- **Revenue:** The Company operates as a single reportable segment, focused exclusively on delivering healthcare services within Canada. All revenue is generated domestically, reflecting a concentrated operational footprint. No individual customer accounts for 10% or more of total revenue, indicating a well-diversified client base and reduced dependency on any single source.
- **Cost of Revenue:** In fiscal year 2024, the Company revised its accounting policies. Previously, variable compensation expenses were included in the cost of revenue. As of July 1, 2024, these expenses are now reported under selling, general, and administrative ('SG&A') expenses. All prior period figures have been restated accordingly, as disclosed in the Management Discussion and Analysis ('MD&A'). The Company uses an input-based method—primarily labor hours and raw material costs—to assess performance. Any fluctuations in these inputs directly affect the cost of revenue. Inventory costs are also included in this category. Additionally, in fiscal year 2023, a gain from the disposal of intangible assets was recognized within the cost of revenue.
- **Operating expenses:** Operating expenses encompass all SG&A costs, including employee benefits, variable compensation, professional services, sales and marketing, occupancy, and general administrative expenses.
- **Depreciation & Amortization:** This category includes depreciation and amortization expenses related to property, plant, and equipment ('PP&E'), leased assets, and intangible assets.

Source: Publicly available information



Profit & loss overview (2/2)

Income statement reported								
CADm	Reported				As % of revenue			
	FY22	FY23	FY24	TTM Q1-25	FY22	FY23	FY24	TTM Q1-25
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Gross profit	612	697	773	796	48.9%	48.9%	50.0%	50.3%
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Net interest	68	93	90	88	5.4%	6.5%	5.8%	5.5%
Depreciation & amortization	190	203	205	205	15.2%	14.2%	13.2%	13.0%
Taxes	(61)	(17)	(15)	(14)	(4.9%)	(1.2%)	(1.0%)	(0.9%)
EBITDA	181	194	220	221	14.5%	13.6%	14.2%	13.9%

Overview

- **Net Finance Costs:** The major components of net finance costs are interest expense and standby charges on borrowings, interest accretion on borrowings, interest accretion on lease liabilities, interest accretion on preferred share liability, loss on modification of borrowings, loss on settlement of Pre-IPO borrowings, and interest income.
- **Income tax recovery:** Dentalcorp recorded an income tax recovery primarily due to the recognition of deferred tax assets arising from non-capital losses and acquisition-related temporary differences.

Source: Publicly available information



Quality of earnings (1/7) - Overview

Quality of earnings summary				
CADm	Reported			TTM
	FY22	FY23	FY24	Q1-25
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EBITDA margin, pro forma adjusted	16%	13%	14%	15%

The Quality of Earnings ("QofE") analysis has been prepared based on the Company's quarterly internal financials.

The suitability of EBITDA adjustments as it pertains to the proposed transaction and other factors for consideration may require further investigation to understand the potential impact on your business model. The potential adjustments identified are not deemed to be all-inclusive and further diligence may uncover additional or modified adjustments.

Source: Publicly available information

Overview

Analysis buildup

The Company's quarterly financial statements were used to build the financial statements and Quality of Earnings analysis. *The latest available audited financial statements are for the period ending March 31st, 2025.*

Adjustments

The nature of adjustments included in the analysis are as follows:

- **EBITDA, reported:** Reflects definitional add-backs (i.e., interest, income taxes, depreciation and amortization) to net income.
- **Management adjustments:** Represents adjustments identified by management within the MD&A for: (i) one-time or non-recurring expenditures and (ii) expenses unrelated to typical operational performance.
- **Diligence adjustments:** Represents adjustments identified during diligence for: (i) one-time or non-recurring expenditures, (ii) expenses unrelated to typical operational performance, and (iii) revisions to management adjustments.
- **Pro forma adjustments:** Represents adjustments to normalize revenues and expenses for non-recurring or previously non-existing items.
- **Other considerations:** Certain other items which were not included as adjustments are highlighted in the 'Other considerations' section. These items should be considered as part of the earnings analysis for sensitivity purposes

Quality of earnings (2/7) - Management Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management adjustments	0	0	0	0
Net impact adjustment	1 (2)	(2)	16	23
Change in fair value of financial instruments at FVTPL	2 -	-	5	14
Share-based compensation	3 13	12	13	11
Loss on disposal of businesses	4 -	21	10	11
Administrative	5 9	12	7	7
Professional services	6 16	11	4	4
Change in fair value of contingent consideration	7 19	1	5	2
Employee benefits expense	8 (5)	1	3	1
Loss on disposal and impairment of property and equipment	9 -	2	1	1
Depreciation expense on right-of-use assets	10 -	0	-	-
Change in fair value of preferred shares	11 -	7	(1)	(1)
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
EBITDA margin, management adjusted	3.9%	4.6%	4.0%	4.6%
Diligence Adjustments	(21)	(48)	(31)	(30)
EBITDA, Diligence adjusted	209	212	252	263
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236

Source: Publicly available information

Management Adjustments

- Net impact adjustment:** This adjustment relates to expenses recorded regarding net impact of realized/unrealized foreign exchange gains or losses on non-cash balances, change in fair value of derivative instruments (including conversion options), and share of associate losses.
- Change in fair value of financial instruments at FVTPL:** Derivative financial asset/liability – interest rate swaps are measured at fair value at the end of each reporting period.
- Share-based compensation:** Equity-settled share-based payment arrangements are measured at the fair value of the equity instruments at the grant date. At each reporting date, the Company revises its estimate of the number of equity instruments expected to vest as a result of the effect of non-market-based vesting conditions.
- Loss on disposal of businesses:** Represents the loss on disposal of businesses and dental practices that were divested throughout 2023 and 2024, including those disposed of on March 31, and during the three and nine months ended June 30, September 30, and December 31, 2023.
- Administrative:** This adjustment seeks to remove costs which are not expected to occur related to the company's IPO, as well as costs that are related to the implementation of new corporate systems and the undertaking of vendor consolidations.
- Professional Services:** This adjustment pertains to costs associated with the strategic review and the evaluation of strategic alternatives aimed at enhancing shareholder value. It also includes professional fees and other third-party expenses related to practice acquisitions. Management has proposed excluding these costs on the basis that they are incurred with each acquisition and are not directly tied to the Company's core operating activities.

Quality of earnings (3/7) - Management Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management adjustments	0	0	0	0
Net impact adjustment	1 (2)	(2)	16	23
Change in fair value of financial instruments at FVTPL	2 -	-	5	14
Share-based compensation	3 13	12	13	11
Loss on disposal of businesses	4 -	21	10	11
Administrative	5 9	12	7	7
Professional services	6 16	11	4	4
Change in fair value of contingent consideration	7 19	1	5	2
Employee benefits expense	8 (5)	1	3	1
Loss on disposal and impairment of property and equipment int	9 -	2	1	1
Depreciation expense on right-of-use assets	10 -	0	-	-
Change in fair value of preferred shares	11 -	7	(1)	(1)
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
EBITDA margin, management adjusted	3.9%	4.6%	4.0%	4.6%
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EBITDA, Diligence adjusted	209	212	252	263
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236

Source: Publicly available information

Management Adjustments

- Change in fair value of contingent consideration:** Upon acquisition and at each subsequent reporting date, earn-out obligations are measured at fair value, with any changes in fair value recognized in the consolidated statements of loss and comprehensive loss.
- Employee Benefits Expense:** This adjustment reflects several non-recurring expenses identified by management: (A) COVID-19 Related Costs; Expenses incurred during the pandemic, including additional employee benefits and retention incentives. (B) Legal Settlement Adjustment: A net impact of a \$14.5 million gain from a legal settlement, partially offset by \$9.4 million in relief provided to Partner Dentists and employees. (C) Management Loan Program ('MLP') costs: The Company covered income taxes on deemed interest benefits provided to MLP Managers, with the expectation of repayment. During 2023 loan restructuring, \$0.9 million of this benefit was forgiven, resulting in a corresponding loss recorded under employment expenses. (D) Post-Employment Benefits: Costs associated with benefits provided to the Company's former president. (E) CEO Transition Compensation: Short-term compensation paid to the CEO in 2024 for supporting leadership transitions announced in June and assisting the Board in developing a long-term strategic plan to enhance value for practices, patients, and shareholders.
- Loss on disposal and impairment of property and equipment intangible assets:** This adjustment represents the loss on disposal and impairment of property, equipment, and intangible assets, primarily resulting from the closure of certain dental practice locations. These losses arise from the write-off of leasehold improvements and equipment that could not be relocated to other practices.

Quality of earnings (4/7) - Management Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management adjustments	0	0	0	0
Net impact adjustment	1 (2)	(2)	16	23
Change in fair value of financial instruments at FVTPL	2 -	-	5	14
Share-based compensation	3 13	12	13	11
Loss on disposal of businesses	4 -	21	10	11
Administrative	5 9	12	7	7
Professional services	6 16	11	4	4
Change in fair value of contingent consideration	7 19	1	5	2
Employee benefits expense	8 (5)	1	3	1
Loss on disposal and impairment of property and equipment	9 -	2	1	1
Depreciation expense on right-of-use assets	10 -	0	-	-
Change in fair value of preferred shares	11 -	7	(1)	(1)
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
EBITDA margin, management adjusted	3.9%	4.6%	4.0%	4.6%
Diligence Adjustments	(21)	(48)	(31)	(30)
EBITDA, Diligence adjusted	209	212	252	263
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236

Source: Publicly available information

Management Adjustments

- Depreciation expense on right-of-use assets:** This adjustment seeks to reverse the impairment of right-of-use assets recognized during the three months and year ended December 31, 2023
- Change in fair value of preferred shares:** This adjustment reflects the gains/losses arising on remeasurement for the management preferred shares at FVTPL at the end of each reporting period.

Quality of earnings (5/7) - Diligence Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
Diligence Adjustments				
Reversal: Administrative	12	(8)	(12)	(7)
Reversal: Loss on disposal of businesses	13	-	(21)	(11)
Reversal: Share-based compensation	14	(13)	(12)	(13)
Reversal: Loss on disposal and impairment of property and equipment	15	-	(2)	(1)
Diligence Adjustments	(21)	(48)	(31)	(30)
EBITDA, Diligence adjusted	209	212	252	263
EBITDA margin, diligence adjusted	16.7%	14.8%	16.3%	16.6%
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236

Source: Publicly available information

Diligence Adjustments

- 12. Reversal of select administrative adjustments:** Specifically, we reversed the portion of the adjustment related to "other corporate costs," which included expenses associated with the implementation of new corporate systems and vendor consolidations. Given the nature of the Company's business model—which involves the ongoing acquisition of dental practices—we determined that these costs should not be considered one-time in nature. As the Company continues to grow and integrate new practices, it will regularly evolve its corporate infrastructure and undertake vendor consolidation initiatives, making such expenditures recurring and integral to its operations.
- 13. Reversal of Loss on disposal of businesses** We reversed the adjustment related to the loss on disposal of businesses, as such divestitures are part of the Company's ongoing portfolio management strategy. These transactions are not exceptional, but rather a recurring element of its acquisition and optimization model, and should be reflected in reported earnings. Although they were disposing of non-core standalone specialty practices, it is apart of their consolidation strategy.
- 14. Reversal of share-based compensation:** We reversed the adjustment for share-based compensation, as it reflects a recurring component of total employee compensation. While future awards may not take the form of equity, the economic value of compensation required to attract and retain talent is expected to remain consistent. Excluding these costs would understate the Company's ongoing compensation obligations.
- 15. Reversal of Loss on disposal and impairment of property and equipment intangible assets:** Similar to the reversal of the loss on disposal of businesses, this adjustment reflects the company's ongoing acquisition and optimization strategy. While not classified as exceptional, this loss represents a less frequent but recurring element of the company's strategic activities.

Quality of earnings (6/7) - Pro Forma Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
Diligence Adjustments	(21)	(48)	(31)	(30)
EBITDA, Diligence adjusted	209	212	252	263
Pro forma adjustments				
Revenue pro forma adjustment	16	34	14	16
Adjustments relating to previous periods	17	9	4	4
Interest accretion on lease liabilities	18	(41)	(44)	(46)
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236
<i>EBITDA margin, pro forma adjusted</i>	16.4%	12.9%	14.3%	14.8%

Source: Publicly available information

Pro Forma Adjustments

- 16. Revenue – Acquisition Adjustment:** The Company frequently acquires dental practices and estimates the potential positive impact on revenue had those practices been acquired at the beginning of the relevant reporting periods. These estimates are based on the revenue budgeted to be generated by each practice at the time of acquisition. While this provides insight into the potential revenue contribution of new acquisitions, there is no assurance that the practices would have achieved the projected results if acquired earlier, and these estimates are not indicative of future performance.
- 17. Acquisition adjustment:** The Company regularly acquires dental practices and estimates the potential positive impact on Adjusted EBITDA as if those practices had been acquired at the beginning of the relevant reporting periods. These estimates are based on the budgeted Practice-Level EBITDA expected from each acquired practice at the time of acquisition.

Quality of earnings (7/7) - Pro Forma Adjustments

Quality of Earnings				
CADm	FY22	FY23	FY24	TTM Q1-25
Revenue, reported	1,250	1,426	1,545	1,582
Pro forma adjustments	34	14	13	16
Revenue, pro forma adjusted	1,284	1,440	1,558	1,598
EBITDA, reported	181	194	220	221
Management Adjustments	49	66	62	72
EBITDA Management adjusted	230	259	283	293
Diligence Adjustments	(21)	(48)	(31)	(30)
EBITDA, Diligence adjusted	209	212	252	263
Pro forma adjustments				
Revenue pro forma adjustment	16	34	14	16
Adjustments relating to previous periods	17	9	4	4
Interest accretion on lease liabilities	18	(41)	(44)	(46)
Pro forma adjustments	2	(25)	(30)	(27)
EBITDA, pro forma adjusted	211	186	223	236
<i>EBITDA margin, pro forma adjusted</i>	16.4%	12.9%	14.3%	14.8%

Source: Publicly available information

Pro Forma Adjustments

18. Interest accretion on lease liabilities

- Interest and principle repayments on leases: This adjustment reflects an EBITDA modification to exclude rent expenses that the company pays annually in cash. As stated in the Company's MD&A, both creditors and the Company use PF Adjusted EBITDA after rent to assess borrowing capacity, which management believes, given the highly acquisitive nature of the Company's business, is more reflective of their operating performance.
- Lease interest and principle repayments on acquisition: The Company frequently acquires dental practices and estimates that, had these acquisitions occurred at the beginning of the relevant reporting periods, additional lease-related interest and principal repayments would have been recognized. However, there is no assurance that the actual lease-related costs would have matched these projections if the acquisitions had occurred earlier.

05

Balance sheet

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5.4	Net debt	35

Balance sheet overview (1/2)

The reported balance sheet has been stratified as at March 31st, 2025 into net working capital, net debt, and others. See the following pages for additional analysis on NWC.

Stratified balance sheet				
	As at	Stratification as at 31-Mar-25		
CADm	31-Mar-25	NWC	Net debt	Others
Assets				
Cash	58	-	58	-
Trade and other receivables	89	89	-	-
Inventories	31	31	-	-
Prepaid and other assets	17	17	-	-
Current assets	194	136	58	-
Non-current assets	3,216	-	-	3,217
Assets	3,410	136	58	3,217
Liabilities and shareholders' equity				
Trade and other payables	(147)	(147)	-	-
Contract liabilities	(5)	(5)	-	-
Lease liabilities	(30)	(30)	-	-
Current borrowings	-	-	-	-
Income tax payable	(11)	(11)	-	-
Dividend payable	(5)	(5)	-	-
Contingent consideration	(0)	-	-	(0)
Current liabilities	(198)	(198)	-	(0)
Non-current liabilities	(1,444)	-	(1,047)	(397)
Liabilities	(1,642)	(198)	(1,047)	(397)
Shareholders' equity	(1,768)	-	-	(1,768)
Liabilities and shareholders' equity	(3,410)	(198)	(1,047)	(2,165)

Source: Publicly available information

Overview

Components of reported net working capital, and others are discussed below. Refer to the "Net debt" section for discussion on reported net debt items.

Net working capital

- **Trade and other receivables:** Relates to balances billed to customers but are outstanding as of year end. This balance is also net of any allowances which are recorded based on historical experiences. As of March 31st, 2025, there are \$88.7 million receivables outstanding.
- **Inventories:** Inventories consist of consumables and are stated at the lower of cost and net realizable value. Cost comprises cost of purchase and other costs that have been incurred in bringing the inventories to their present location and condition. Cost is calculated using the weighted average cost basis. Net realizable value represents the estimated selling price less the estimated costs necessary to make the sale. As at March 31st, 2025, the provisions for obsolescence amounted to \$31.2 million.
- **Prepaid and other current asset items:** Transaction costs allocated to the Delayed Draw Facility are recognized as a prepaid asset representing the right to borrow in the future on pre-specified terms, which may be favorable. Relating to non-derivative current assets used in operations. A further breakdown of this balance is not publicly available as at the year end date. As of March 31st, 2025, there are \$16.5 million in prepaid and other current assets.

Balance sheet overview (2/2)

Stratified balance sheet				
CADm	As at	Stratification as at 31-Mar-25		
	31-Mar-25	NWC	Net debt	Others
Assets				
Cash	58	-	58	-
Trade and other receivables	89	89	-	-
Inventories	31	31	-	-
Prepaid and other assets	17	17	-	-
Current assets	194	136	58	-
Non-current assets	3,216	-	-	3,217
Assets	3,410	136	58	3,217
Liabilities and shareholders' equity				
Trade and other payables	(147)	(147)	-	-
Contract liabilities	(5)	(5)	-	-
Lease liabilities	(30)	(30)	-	-
Current borrowings	-	-	-	-
Income tax payable	(11)	(11)	-	-
Dividend payable	(5)	(5)	-	-
Contingent consideration	(0)	-	-	(0)
Current liabilities	(198)	(198)	-	(0)
Non-current liabilities	(1,444)	-	(1,047)	(397)
Liabilities	(1,642)	(198)	(1,047)	(397)
Shareholders' equity	(1,768)	-	-	(1,768)
Liabilities and shareholders' equity	(3,410)	(198)	(1,047)	(2,165)

Source: Publicly available information

Overview

- **Accounts payable and accrued liabilities:** Comprised of trade payables, accrued liabilities, employee benefits and other current liabilities used in ongoing operations of the business. As of March 31st, 2025, there are no accounts payable and accrued liabilities.
- **Lease liabilities:** At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate ("IBR"). The lease payments include fixed payments and variable lease payments that depend on an index or rate, less any lease incentives receivable. As of March 31st, 2025, there are \$29.8 million in lease liabilities.

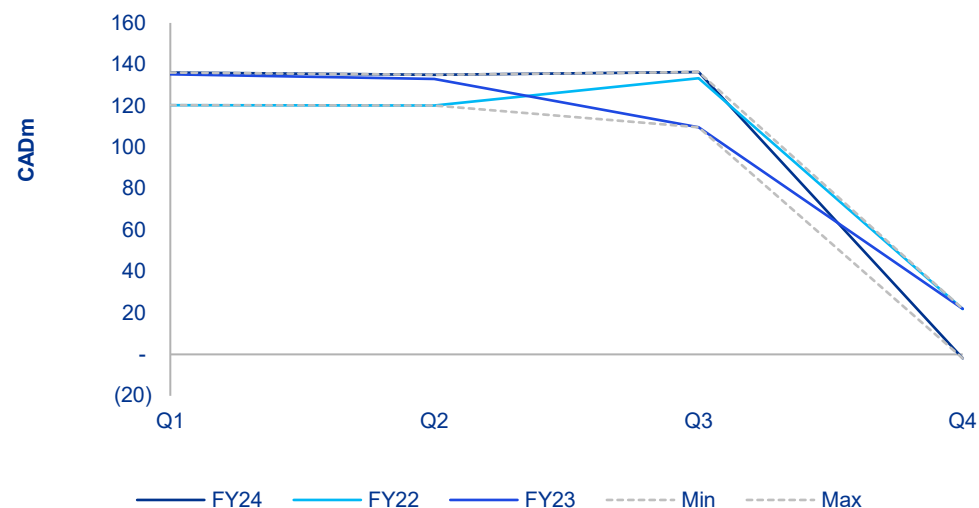
Net working capital (1/3) – Overview

Reported TTM Q1-25 net working capital decreases from \$143 million to \$131 million after adjustment considerations. Refer to following pages for further details.

Net working capital summary								
CADm	As at				Average			TTM
	31-Dec-22	31-Dec-23	31-Dec-24	31-Mar-25	FY22	FY23	FY24	Q1-25
Net working capital, reported	77	16	33	143	186	153	137	97
Definitional adjustments	(66)	(7)	(47)	(12)	(90)	(56)	(38)	(36)
Diligence adjustments	12	13	15	-	3	3	4	4
Net working capital, adjusted	22	22	1	131	99	100	102	64

Source: Publicly available information

Adjusted net working capital seasonality



Overview

Fiscal year presentation

The average net working capital reported for TTM Q1-25 is \$97 million. After adjustments, average net working capital decreases to \$64 million.

Analysis buildup

The Company's quarterly and annual financial statements were utilized to build the net working capital analysis. *Note the latest available audited financial statements is for year-ended March 31st, 2025.*

Adjustments

- **Definitional adjustments:** Adjustments that are removed from net working capital for definitional purposes.
- **Diligence adjustments:** Impact of additional adjustments identified during diligence as non-recurring in nature.

The working capital schedule summarizes reported working capital (derived from the stratified balance sheet analysis), potential adjustments and pro forma adjustments to be considered for TTM Q1-25.

Such proposed adjustments are not deemed to be all-inclusive. The validity of these diligence adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Net working capital (2/3) – Definitional adjustments

The reported balance sheet has been stratified as at March 31st, 2025 into net working capital, net debt, and others. See the following pages for additional analysis on NWC.

Net working capital detail					
		As at			
CADm	Code	31-Dec-22	31-Dec-23	31-Dec-24	31-Mar-25
Net working capital, reported		77	16	33	143
Definitional adjustments					
Cash	1	(111)	(39)	(80)	(58)
Lease liabilities	2	27	28	30	30
Contingent consideration	3	17	4	0	0
Income tax payable	4	-	-	3	11
Dividend payable	5	-	-	-	5
Definitional adjustments		(66)	(7)	(47)	(12)
Net working capital, definitional adjusted		10	9	(14)	131
Diligence adjustments		12	13	15	-
Net working capital, diligence adjusted		22	22	1	131
<i>As % of TTM net sales</i>		<i>1.8%</i>	<i>1.5%</i>	<i>0.1%</i>	<i>8.3%</i>

Definitional adjustments

The following represents definitional adjustments which have been removed from net working capital (“NWC”).

- Cash:** Cash is considered a non-operating asset, and thus must be removed from the net working capital analysis and added to net debt. A breakdown of cash balances is not publicly available, thus any restricted cash accounts have not been identified.
- Lease liabilities:** A breakdown of lease liabilities is not publicly available. Excluded from net working capital due to its debt-like nature.
- Contingent consideration:** It is an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree if specified future events occur or conditions are met. Excluded from net working capital due to its debt-like nature.
- Income taxes payable:** Includes current income tax and deferred income tax recovery. Excluded from net working capital due to its debt-like nature.
- Dividend payable:** Dividends payable arises from financing decisions rather than core operational activities. As such, it does not reflect the company's operational efficiency or liquidity management and should be excluded as a definitional adjustment in net working capital analysis.

Source: Publicly available information

Net working capital (3/3) – Diligence Adjustments

Net working capital detail					
		As at			
CADm	Code	31-Dec-22	31-Dec-23	31-Dec-24	31-Mar-25
Net working capital, reported		77	16	33	143
Definitional adjustments		(66)	(7)	(47)	(12)
Net working capital, definitional adjusted		10	9	(14)	131
Diligence adjustments					
ECL	6	12	13	15	-
Diligence adjustments		12	13	15	-
Net working capital, diligence adjusted		22	22	1	131
<i>As % of TTM net sales</i>		<i>1.8%</i>	<i>1.5%</i>	<i>0.1%</i>	<i>8.3%</i>

Diligence adjustments

- Expected credit loss:** The exclusion of expected credit loss (ECL) from net working capital adjustments is because it reflects a non-operational, non-cash provision tied to credit risk on patient receivables, which does not impact the company's core cash conversion cycle.

Source: Publicly available information

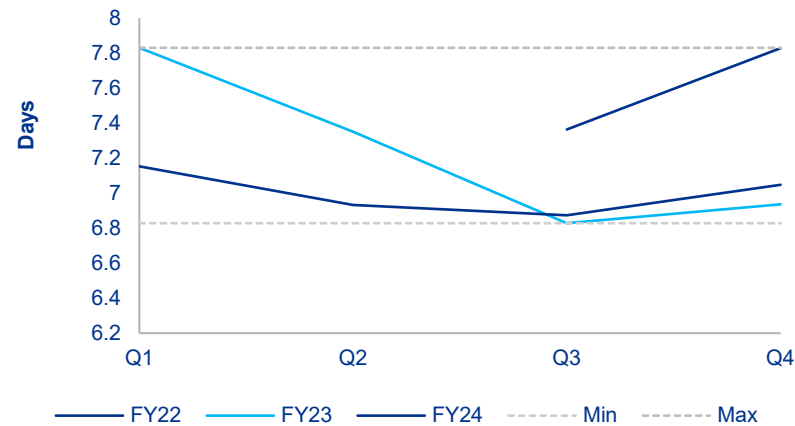
Days Analysis

Working capital metrics, adjusted			
	FY22	FY23	FY24
DSO			
Max	8	8	7
Average	8	7	7
Min	7	7	7
Variance from high	0	1	0
Variance from low	(0)	(0)	(0)
DIO			
Max	7	7	7
Average	7	7	6
Min	7	6	6
Variance from high	0	0	1
Variance from low	(0)	(0)	(1)
DPO			
Max	7	7	7
Average	3	5	4
Min	-	-	-
Variance from high	3	2	2
Variance from low	(3)	(5)	(5)
Cash conversion cycle			
Max	15	14	13
Average	11	9	9
Min	8	8	6
Variance from high	3	4	4
Variance from low	(3)	(2)	(3)

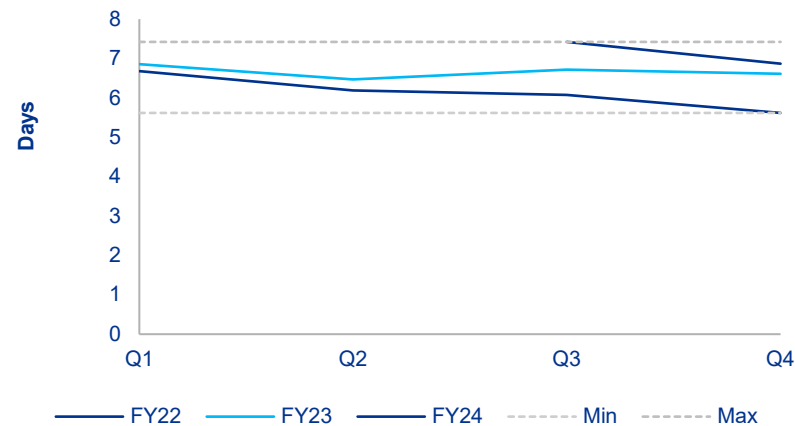
Source (all): Publicly available information

Days Sales Outstanding (DSO), Days Inventory Outstanding (DIO), and Days Payable Outstanding (DPO) have remained relatively stable across the fiscal years. DSO, DPO, DIO all experience a notable decline approaching the third quarter. This trend may reflect seasonal operational patterns within the dental service industry, such as reduced patient volume during summer months, tighter working capital management, or strategic efforts to streamline operations mid-year.

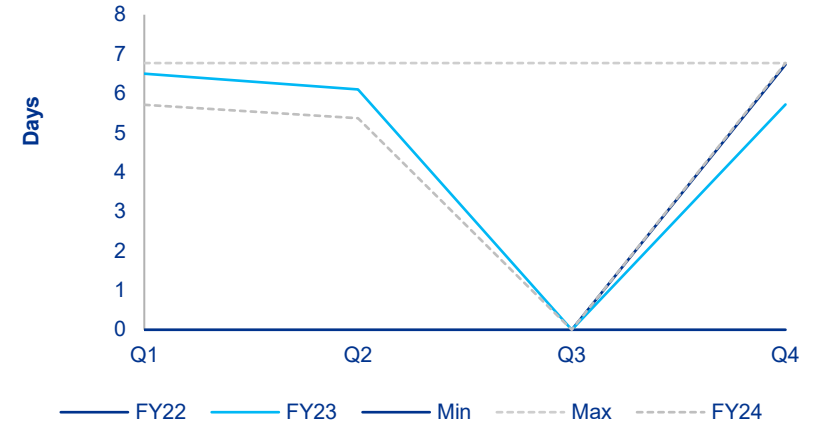
DSO, adjusted



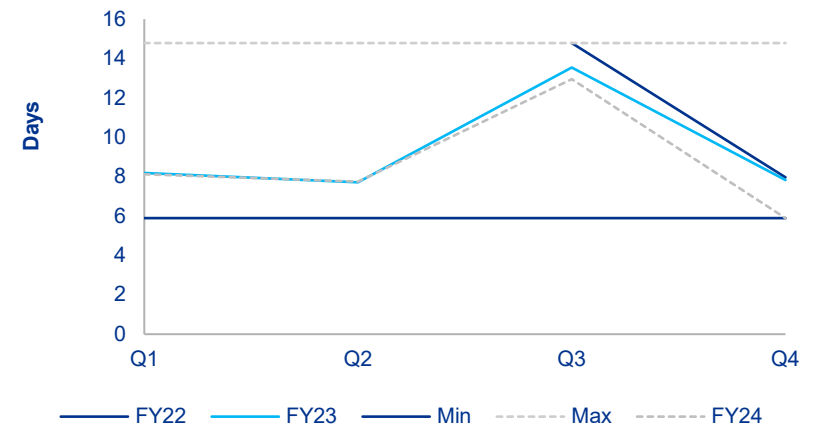
DIO, adjusted



DPO, adjusted



Cash conversion cycle, adjusted



Net debt - Overview

Net debt				
CADm	As at			
	31-Dec-22	31-Dec-23	31-Dec-24	31-Mar-25
Cash				
Cash	111	39	80	58
Net cash, reported	111	39	80	58
Debt				
Term facility	(895)	(897)	(897)	(897)
Delayed draw facility	(165)	(150)	(150)	(150)
Non current liabilities	(1,060)	(1,047)	(1,047)	(1,047)
Net debt, reported	(950)	(1,008)	(968)	(989)

Overview

Net debt

- Cash and cash equivalents:** As of March 31st, 2025 Dentalcorp holds \$58M in cash and cash equivalents. Further details on their sources of cash and it's equivalents are not specified.
- Long-term debt:** The Company's debt is due to it's term facility and delayed draw facility across FY22-FY24, as well as in the months recorded of FY25. Concurrently, with the closing of the IPO, the Company entered into a credit agreement with a syndicate of lenders, which was amended in July, 2022, and in January, 2024. The lenders made available to the company (i) \$150 million dollar secured revolving credit facility, (ii) \$350 million senior secured non-amortizing delayed draw acquisition term loan, (iii) and a \$900 million senior secured non-amortizing term loan. The credit facilities mature on January 18, 2028, and as at March 31, 2025, no funds had been drawn down under the Revolving Facility.

06

Appendices

6.1 Glossary of terms and abbreviations

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Glossary of terms and abbreviations

CAD	Canadian dollar
CAGR	Compound annual growth rate
CDCP	Canadian Dental Care Plan
CEO	Chief executive officer
DIO	Days inventory outstanding
DPO	Days payable outstanding
DSO	Days sales outstanding
DSOs	Dental service organizations
EBITDA	Earnings before interest, tax, depreciation and amortization
ECL	Expected credit loss
FVTPL	Fair value through profit or loss
FYE	Financial year
G&A	General and administrative
IBR	Incremental borrowing rate
IFRS	International Financial Reporting Standards
IPO	Initial public offering
LOI	Letter of intent
MD&A	Management discussion and analysis

NWC	Net working capital
PF	Pro forma
PP&E	Property, plant and equipment
QoE	Quality of earnings
SG&A	Selling, general and administrative
The Company	Dentalcorp Holdings Ltd.
TTM	Trailing twelve-month
USD	U.S. dollar

Acquisition



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